

V.T.C.A. Tax Code §151.311

Offerors are hereby notified that in accordance with V.T.C.A., Tax Code §151.311, the purchase of tangible personal property for use in the performance of a contract for an organization exempted under Section 151.309 or 151.310 of this code is exempt if the tangible personal property is incorporated into realty in the performance of the contract. Additionally, the purchase of tangible personal property, other than machinery or equipment and its accessories and repair and replacement parts, for use in the performance of a contract for an improvement to realty for an organization exempted under Section 151.309 or 151.310 of the code is exempt if the tangible personal property is necessary and essential for the performance of the contract and completely consumed on the job. The VA is an exempt organization.

Therefore, the contractor's purchase of such building and construction materials within the State of Texas to be incorporated into the real property belonging to the U.S. Department of Veterans Affairs (VA) or completely used in the performance of the contract is subject to exemption from Texas Sales and Use taxes under the code. To take advantage of the tax exemption the successful offeror under this solicitation must complete a Texas Sales and Use Tax Exemption Certificate when it purchases construction materials for this contract.

Notwithstanding FAR 52.229-3, all proposals received in response to this solicitation are presumed to reflect this tax exemption, and therefore should not include Texas' Sales or Use Taxes on sales of materials for incorporation into VA real estate under this contract or used in the performance of this contract.

The successful offeror is responsible for obtaining the certificate, as it is specific to the state of Texas, and not the VA.